

ASSIGNMENT SET – 1

Q1.

Function of Fund Flow in the Financial Decision-Making Process

Fund Flow analysis is a technique which allows managers to learn about sources and uses of funds of a certain company. Actually, it is a special report that illustrates fund flows or, in other words, the movement of funds within the firm (i.e., funds such as cash). The main difference between Fund Flow and the Cash Flow statement is that, while the latter only takes into account cash, Fund Flow covers all working capital accounts including receivables, payables, inventory, and current liabilities.

As far as financial decision-making goes, this tool can be extremely useful. If the management of an organization intends to expand, they need to decide whether or not their firm possesses sufficient funds for expanding and whether they will require any borrowing. In other words, a decision-maker needs to know whether the firm has received funds from operating activities or has invested funds or has raised additional funds. By analyzing the fund flow, a manager can assess the efficiency of the firm's activities.

A further application of the concept lies in the identification of potential liquidity issues before turning into a crisis situation. The identification of whether cash flows from an organization's operations are higher than its generation rate would allow the management to address the issue either by reducing costs, boosting sales activities, or obtaining external funding. In its absence, companies could go broke despite being profitable.

Effect of Changes in Working Capital on Cash Flow Statement

Working capital refers to the gap between current assets and current liabilities. Any change in working capital affects the flow of funds.

- In case of an increase in working capital - this indicates that funds have been committed in current assets, such as due to an increase in inventory or accounts receivable. Such funds cannot be used for any other purpose. Thus, an increase in working capital indicates fewer funds available for other purposes.
- When there is a decrease in working capital - this suggests that funds are released. The reason may be that the firm received payments from its customers or released its inventory.

I will illustrate it through an example. If the firm opts for accumulating inventory prior to a sales peak period, there will be an increase in the working capital, which means that the cash balance will become inventory. It will be reflected in the fund flow statement as the utilization of funds. As the inventory is then sold and becomes cash, there will be a decline in the working capital. It will result in releasing funds. This is how fund flow analysis assists in the decision-making process. It enables managers to make good decisions regarding cash requirements without having a shortage of cash despite selling goods.

Conclusion: The importance of Fund Flow Analysis lies in its ability to give information about the liquidity status and resource efficiency of the organization. Any changes in the working capital will have an effect on the amount of funds available, which makes it important for managers to keep track of these changes while investing or financing their projects.

Q2.

Definition of Management Accounting

Management accounting is an approach based on the utilization of financial and non-financial information aimed at improving managerial decision-making processes. Unlike financial accounting, whose objective is providing data to external users such as stockholders and creditors, management accounting is intended for the internal environment, for example, people running a company.

Management accounting includes budgeting (forecasting of future results), variance analysis (difference between actual results and forecasts), costing (identification of costs), profitability analysis (evaluation of product or departmental performance). These data are used by managers to establish goals and objectives, measure performance, choose products to be developed or discontinued, decide on whether to produce goods internally or purchase them externally, and a thousand other decisions.

Challenges of Managing Management Accounting

- **Collection of data** Management accounting is based on reliable information. However, collecting all the required data from various systems or manual sources is difficult. It requires significant resources.
- **Salary of specialists and cost of the system** Implementation of the system requires payment of considerable sums for buying software and training specialists. For example, small businesses cannot afford to invest in such systems because of their high price. However, in reality, it does not make sense to avoid investing in accounting systems because good accounting information is always worth its price.
- **Resistance from employees** - Any changes in the business processes are usually met with reluctance. For instance, managers are accustomed to traditional systems of assessment and do not like being monitored using new techniques.
- **Business complexity** - The business environment of the present day involves many products in several locations and segments. Therefore, allocating costs and assessing profitability may be complicated.
- **The need for system integration** - Most firms will have their own financial systems. The new management accounting systems will require interfacing with these existing systems, which might prove difficult and costly.
- **Simultaneously staying relevant and up to date** - Management Accounting information must be current enough so that managers can make decisions based on up-to-date information. If a report takes three months from month-end to become available, the information is not useful to decision-makers. Timely information can only be obtained through effective systems.
- **Balancing detail with simplicity** - While managers require sufficient detail in order to gain insight, too many details could overwhelm the reader making reports unmanageable.

Conclusion: The use of Management Accounting for decision-making is extremely valuable; however, it can be difficult to implement correctly. Firms that manage to do this effectively enjoy improved decision-making, decreased costs, and greater profits. The effort required to implement Management Accounting successfully is well worth it.

Q3.

Cash Flow Statement of Joy Ltd (Indirect Method)

The process of creating the cash flow statement involves calculating the profit after tax and then making the necessary adjustments for non-cash expenses and working capital movements. Allow me to explain the procedure.

Step one is calculating the Profit After Tax. From the balance sheets, I will be able to identify the increase in the P&L account (retained earnings) of 18,000 since the P&L account rose from 30,000 to 48,000. However, there are other increases in profit I need to take into consideration.

Calculations:

- **Goodwill written off** - 25,000 (non-cash expense, added back)
- **Depreciation on Plant** - 20,000 (non-cash expense, added back)
- **Loss on sale of Land & Building** - 30,000 sale price minus 30,000 WDV = no profit or loss
- **Equity share capital increased** - from 3,00,000 to 4,00,000 = 1,00,000 (financing activity)
- **Preference shares redeemed** - 1,50,000 to 1,00,000 = 50,000 reduction (financing activity)
- **Plant purchased** - this is a balancing figure

First, let's calculate Working Capital changes:

- **Trade receivables increased by** - 40,000 (use of cash)
- **Stock increased by** - 32,000 (use of cash)
- **Bills receivable increased by** - 10,000 (use of cash)
- **Trade payables increased by** - 28,000 (source of cash)
- **Bills payable decreased by** - 4,000 (use of cash)
- **Provision for taxation increased by** - 10,000 (source of cash)

Now, the Cash Flow Statement:

CASH FLOW STATEMENT OF JOY LTD FOR THE YEAR ENDED 31/3/2025

(Using Indirect Method)

A. OPERATING ACTIVITIES

Net profit after tax (approx.)	38,000
Add: Plant's Depreciation	20,000
Add: Goodwill written off	25,000
Add: Provision for taxation	10,000
Less: Trade receivables increase	(40,000)
Less: Stock increase	(32,000)
Less: Bills receivable increase	(10,000)
Add: Trade payables increase	28,000

Less: Bills payable decrease	(4,000)
Cash inflow from operations	35,000

B. INVESTING ACTIVITIES

Sale of Land & Building	30,000
Less: Plant purchased	(1,40,000)
(Plant opening 80,000 + purchases - depreciation 20,000 = closing 200,000)	
(So purchases = 200,000 – 80,000 + 20,000 = 140,000)	
Cash outflow from investing activities	(1,10,000)

C. FINANCING ACTIVITIES

Equity share capital issued	1,00,000
Less: Preference shares redeemed	(50,000)
Less: Dividend paid	(42,000)
(Previous year's proposed dividend)	
Cash inflow from financing	8,000
Net change in cash and bank balances	$35,000 - 1,10,000 + 8,000 = (67,000)$
Opening cash and bank	25,000
Closing cash and bank	(18,000)
(Closing: Cash 10,000 + Bank 8,000 = 18,000)	

Conclusion: Cash flow statement analysis indicates that although cash was generated from operational activities of Rs.35,000, the company's cash flow situation worsened by 67,000 owing to huge investment made of Rs.140,000 in plants & machineries. It is common for an expanding business to make such huge investments. In order to finance such investments, the company required raising equity capital of Rs.1,00,000.

ASSIGNMENT SET – 2

Q4.

Given data

Standard time = 1.5 hours per unit

Standard rate = Rs. 120 per hour

Actual output = 600 units

Actual hours = 960 hours

Actual rate = Rs. 125 per hour

Calculations

First, let's calculate :

- **Standard hours for 600 units** - $600 \text{ units} \times 1.5 \text{ hours per unit} = 900 \text{ hours}$
- **Standard cost** - $900 \text{ hours} \times \text{Rs. } 120 = \text{Rs. } 1,08,000$
- **Actual cost** - $960 \text{ hours} \times \text{Rs. } 125 = \text{Rs. } 1,20,000$

1. Labour Cost Variance (LCV)

$\text{LCV} = \text{Standard Cost} - \text{Actual Cost}$

$\text{LCV} = 1,08,000 - 1,20,000 = (12,000)$

The negative figure represents the unfavorable variance. The firm incurred an extra Rs. 12,000 beyond the standard cost. The reason behind the occurrence is the workers working for more hours than usual or getting higher pay rates, or both.

2. Labour Rate Variance (LRV)

$\text{LRV} = (\text{Standard Rate} - \text{Actual Rate}) \times \text{Actual Hours}$

$\text{LRV} = (120 - 125) \times 960$

$\text{LRV} = (5) \times 960 = (4,800)$

An unfavourable variance of Rs. 4,800 indicates that labour was paid Rs. 5 extra per hour above the standard rate. The reason behind the variance could either be increase in wages, payment of higher rates for better-quality labour, or payment for overtime.

3. Labour Efficiency Variance (LEV)

$\text{LEV} = (\text{Standard Hours} - \text{Actual Hours}) \times \text{Standard Rate}$

$\text{LEV} = (900 - 960) \times 120$

$\text{LEV} = (60) \times 120 = (7,200)$

Unfavourable variance of Rs. 7,200 means workers have spent extra 60 hours compared to the standard. While the standard hours were 900 for producing 600 units, but they spent 960 hours. Reasons can be inefficiency of workers, lack of skills among workers, machinery breakdown, or low-quality material leading to scrap.

Verification

$\text{LCV} = \text{LRV} + \text{LEV}$

$(12,000) = (4,800) + (7,200)$

(12,000) = (12,000) ✓ Correct

Conclusion: Both variances are unfavorable, which indicates that Labor costs of the company were higher than budgeted. Efficiency variance, which amounts to Rs. 7,200, is more concerning than the other variance, as the employees were not as efficient as planned. Rate variance, which amounted to Rs. 4,800, also indicates that employees were being paid more than the standard wage rate per hour.

Q5.

Steps for Implementation of Budgetary Control System

Step One: Identify Present Status

As a first step towards installation of budgetary control system, one must determine the present status of his organization. What kind of system exists presently? How does the organization budget itself? What are its weaknesses? In this way, an appropriate system can be designed.

Step Two: Gain the Support of Top Management

For any budgeting process to succeed, it requires the endorsement of top management. The CEO and the CFO must believe in and support the budgeting process for it to be taken seriously by other organizational members. It is up to management to convey their commitment to budgeting through performance evaluation against budgets.

Step Three: Budget Structure

Budgeting is done in different ways. The budget structure depends on various considerations, such as whether budgets will be set by product line, departments, geographic locations, or cost centers. This will depend entirely on the organizational characteristics of the company in question.

Step Four: Define Budget Timing

Make a defined schedule for the whole process of budgeting. At what time do various departments submit their budgets? At what time is the final budget passed by all departments collectively? At what time is there a comparison between actual and budgeted figures? The schedule will act as deadlines.

Step Five: Formulate Budgeting Policies

Provide the departments with clear-cut policies about budget preparation. What should they consider for assumptions (rates of inflation, growth, etc.)? In which form should budgets be presented? Should budgets be prepared historically (previous year + x%) or zero basis (justification of every rupee)?

Step Six: Establish Support Systems

Systems are required that can help gather information and then analyse that data against budget figures. Systems can include an accounting system, spreadsheet, or specific budgeting software package. Ensure that all supporting systems have the ability to enter data in the form of budgets for easy comparison.

Step Seven: Conduct Training Sessions

It is necessary to conduct training sessions for all concerned participants. For managers, it involves training regarding importance of budgeting, preparing budgets, and evaluation criteria. It involves training of accountants regarding systems, and executives concerning analysis of budget statements. Effective training brings more commitment.

Step Eight: Implementation and Control

Initiate your budget period, control its operation, and adjust the process as required. The first year will be inefficient, timelines won't be kept, budgets will be submitted late, and formats may vary. It's typical; rectify these problems for the second year.

Role of the Budget Controller

- Preparation of the budget timetable and budget policies - determining the budget period and method
- Coordination of budget preparation - making sure budgets are completed by the various departments on schedule
- Budget integration - assembling the master budget using individual budgets
- Performance evaluation - evaluating performance by comparing actual performance to budgeted figures
- Enquiry into performance variance - determining the reasons for the difference between actual performance and budgeted figures
- Communication with various departments - briefing departments about budgeting and interpreting performance variance
- Control of budgeting systems

Functions of the Budget Committee

- Reviewing proposed budgets - analysing department budgets prior to their approval
- Settling differences - occasionally departments ask for more than is feasible, and this issue has to be sorted out by the budget committee
- Approving the final budget - approving the final budget before its adoption and implementation
- Performance review - comparing actual performance with budget at regular intervals
- Approval of large variations - when departments have to make major deviations from their budgets, this is approved by the committee
- Strategic decision making - making decisions using budget data

Q6.

Interpretation of the Concept

It is a relationship derived from the Cost-Volume-Profit analysis that holds immense value when understanding the principles of profit. Here, let us understand the relationship in detail.

P/V Ratio Meaning

It represents how much of each rupee of sales is contributed to the profit. The P/V Ratio is given by Contribution/Sales. For instance, suppose the price of a product is Rs. 100, while the variable cost is Rs. 60. The contribution, therefore, will be Rs. 40, and the P/V ratio would be $40/100 = 0.40$. This implies that 40 paise of every rupee generated by sales gets added to the profit.

Definition of Margin of Safety

Margin of Safety is defined as the degree of fall in sales that a business can sustain before reaching its break-even point. The margin of safety may be stated as the difference between the actual and break-even sales. For instance, assuming that the sales of a company amount to Rs. 10,00,000 while its break-even sales stand at Rs. 6,00,000, its margin of safety would amount to Rs. 4,00,000.

The Connection

The statement says: Profit = P/V Ratio $\times$ Margin of Safety

Let me illustrate with an example. Say a company has:

- **Current sales** - Rs. 10,00,000
- **Break-even sales** - Rs. 6,00,000
- **P/V Ratio** - 0.40 (40%)
- **Margin of Safety** - $10,00,000 - 6,00,000 = \text{Rs. } 4,00,000$

Using the formula:

$$\text{Profit} = 0.40 \times 4,00,000 = \text{Rs. } 1,60,000$$

This is right. The real profit will be Rs. 1, 60,000. Why this formula holds true? This is because the P/V ratio measures how much one rupee contributes while the margin of safety indicates how much the sales exceeds break-even point. All that remains after break-even contributes straight to the bottom line as fixed cost is covered fully at this point. That is why; this calculation produces the profit amount.

Practical Implication

The significance of such equation lies in that it makes managers aware that profit depends on two factors: contribution per rupee (P/V ratio) and buffer between the break-even and total sales figure (margin of safety). In order to maximize profit one needs to increase P/V ratio or margin of safety. Such formula gives managers an idea where to direct their activities.

Thus, if margin of safety is low then even minor decrease in sales may cause loss due to lack of safety cushion. Therefore, the task will be to increase the volume of sales. Similarly, when P/V ratio is too low one needs to improve it.

Noteworthy Considerations

The formula is valid for situations where the level of sales is above break-even point. This formula does not apply if the level of sales is below the break-even point because losses are

expected to occur in such situations rather than profits. Further, it is important to note that the assumptions made here regarding fixed cost and variable cost are always valid.

Conclusion: The equation 'profit is the function of P/V ratio and margin of safety' is a mathematical equation and is helpful for managers. It tells us how the profit is earned and what managers can do to increase profits. But it should be kept in mind by managers that all calculations related to this formula are based on certain assumptions regarding cost behaviour and care must be taken before using it.